

Profit Niti – AI Report (2025-04-01 / 2025-11-30)

Last Month KPI Data (November 2025)



Sales
866,750

-57% Last month 2,012,136



Gross Margin
866,750

-57% Last month 2,012,136



Operating Profit
132,244

-94% Last month 2,332,623



Break Even Sales
734,506

329% Last month -320,487



Accounts Receivable
3,955,588

-28% Last month 5,512,204



Accounts Payable
615,119

-53% Last month 1,302,419



Working Capital
3,340,470

-21% Last month 4,209,785



Closing Stock
0

0% Last month 0



Bs Category
53 - SHAKY

-20% Last month 66 - STEADY



Impact Of Decisions
255,735

143% Last month -592,760

1. Big Picture — How the Business Looks Right Now

The business shows a strong equity base, with Total Equity at ₹1.05 crore in November. The company is consistently profitable, with a notable Net Profit of ₹23.89 lakh in October, although monthly performance is volatile with a loss of ₹3.60 lakh in September. The balance sheet is healthy with a high Current Ratio of 11.78 in November, indicating strong short-term liquidity.

GREEN FLAG BOX — What's Working Well

- **Strong Profitability:** The business achieved a high Net Profit of ₹23.89 lakh in October with a Net Profit % of 118.71.
- **Excellent Liquidity:** The Current Ratio is consistently strong, reaching 11.78 in November, supported by Cash and Bank Balances of ₹55.25 lakh.
- **Healthy Equity Growth:** Reserve & Surplus has grown steadily, reaching ₹90.82 lakh in November from ₹45.75 lakh in April.

RED FLAG BOX — What Needs Attention

- **Volatile Monthly Performance:** The business posted a loss of ₹3.60 lakh in September, and Operating Profit was negative at -₹4.40 lakh the same month.
- **High Receivable Days:** Accounts Receivable Days are high, peaking at 202.77 days in June and remaining elevated at 138.81 days in November.
- **Negative Operating Cash Flow:** Cash flows from Operating Activity were negative in several months, including -₹25.04 lakh in October.

Strategic Advice:

Prioritise tightening credit terms and actively managing debtor collections to reduce the high Accounts Receivable Days and improve cash flow from operations. Stabilise monthly expenses to prevent a repeat of the September loss and ensure consistent profitability.

2. Profit Power — The Earning Engine

The company's revenue shows significant volatility, from a low of ₹4.40 lakh in June to a high of ₹20.12 lakh in October. Gross margin remains at 100% across all months as COGS is reported as zero.

Operating profit fluctuates widely, with a high of ₹23.33 lakh in October and a loss of ₹4.40 lakh in September. This is driven by variable overheads, which were as low as ₹16,270 in May and as high as

₹10.54 lakh in September.

Net profit follows a similar pattern, peaking at ₹23.89 lakh in October and turning negative at -₹3.60 lakh in September. Other non-operating income, such as ₹1.66 lakh in November, contributes to the final profit figures.

Strategic Advice:

Stabilise monthly overheads and sales to reduce profit volatility. Investigate the composition of 'Other Non Operating Income' to understand if these are sustainable revenue streams.

3. Cash Flow Quality — Profit vs Real Cash

Your profit after tax for the period was ₹23.89 lakh in October, 2025, but the cash generated from operating activities was -₹25.04 lakh. This indicates a significant gap where profits are not converting into cash.

A major source of cash blockage is trade receivables. In October, 2025, trade receivables consumed ₹24.13 lakh in cash. Conversely, trade payables provided ₹6.87 lakh in cash during November, 2025.

Your operating cash flow margin was -0.09 in October, 2025. The cash flow to debt ratio was -1.38 in the same month, showing operating cash was insufficient relative to debt.

Strategic Advice:

Prioritise aggressive collection of outstanding receivables, particularly from months with high sales like October, 2025. Strengthen credit control to improve the conversion of booked profits into actual cash inflows.

4. Cash Management — Daily Cash Rhythm

The company's Accounts Receivable Days show significant fluctuation, from a low of 64.35 days in April to a high of 202.77 days in June. The figure settled at 138.81 days by November. Inventory Days are consistently 0, indicating no holding of stock.

Accounts Payable Days are reported as 0 across all months. This results in the Working Capital Days mirroring the Accounts Receivable Days exactly, from 64.35 days in April to 138.81 days in November.

The Working Capital required has varied, starting at ₹23.30 lakh in April, peaking at ₹42.10 lakh in October,

and ending at ₹33.40 lakh in November. The Cash Conversion Cycle is lengthy, driven entirely by the collection period from debtors.

Strategic Advice:

The extended and volatile debtor collection period is the primary driver of your cash cycle. Implementing stricter credit terms and a proactive collections process is critical to improve cash inflow and reduce working capital needs. Negotiating standard payment terms with vendors could also help balance the cycle.

5. Growth Investments — Where Money Is Going

The company's capital structure is primarily equity-based. Equity Share Capital was ₹68.29 lakh in April, adjusted to ₹11.51 lakh from August onward. Reserve & Surplus grew from ₹45.75 lakh in April to ₹90.82 lakh in November. Total Equity stood at ₹1.05 crore in November, up from ₹1.22 crore in April.

Investment in Fixed Assets increased from ₹17.24 lakh in April to ₹17.82 lakh from August onward. Non-current Investments showed a negative value of -₹3431 from May onward. The company maintains a strong cash position, with Cash and Bank Balances at ₹55.25 lakh in November.

Return on Capital % showed high volatility, peaking at 331.44% in October but was 20.62% in November. Return on Total Assets was 9.23% in November. Asset Turnover was 1.35 in November, indicating the efficiency of asset use to generate sales.

Strategic Advice:

The high and volatile Return on Capital, especially the 331.44% in October, suggests exceptional performance that month but may not be sustainable. Focus on stabilizing operational performance to achieve consistent returns. The strong cash and equity base provides a solid foundation for strategic investments. Consider deploying excess cash into productive assets or business expansion to improve the Asset Turnover ratio further.

6. Funding Story — How Growth Is Being Financed

The company's funding is primarily equity-based. Total Equity was ₹1.22 crore in April and ₹1.05 crore in November. Unsecured Long-term Borrowings remained minimal at ₹77,143 for most months, increasing to

₹1.25 lakh from September onwards. There are no Secured Long-term or Short-term Borrowings.

The Debt to Equity ratio was very low, at 0.01 for most months, indicating minimal reliance on debt. The Total Debt figure was ₹77,143 for the first five months and ₹1.25 lakh thereafter. Interest Cover is not applicable as there are no interest-bearing debts reported.

Cash flows from Financing Activity show significant volatility, with a large inflow of ₹1.06 crore in April, followed by an outflow of ₹53.49 lakh in May. Subsequent months saw mixed activity, including an inflow of ₹28.42 lakh in October and an outflow of ₹71,044 in November.

Strategic Advice:

The business is conservatively financed with a strong equity base and negligible debt, which is positive for financial stability. However, the volatile financing cash flows, especially the large outflows, require monitoring to ensure sufficient liquidity for operations. Consider establishing a formal line of credit for smoother working capital management, even if current debt usage is low.

7. Balance Sheet Health — Financial Fitness

The company's total equity and liabilities stood at ₹1.26 crore in April, 2025, and ₹1.15 crore in November, 2025. Total equity was ₹1.22 crore in April and ₹1.05 crore in November.

The current ratio, a key liquidity metric, was 23.85 in April and 11.78 in November. The debt-to-equity ratio remained low at 0.01 throughout most of the period, indicating minimal reliance on borrowed funds.

Working capital was ₹23.30 lakh in April and ₹33.40 lakh in November. Accounts receivable days were 64.35 in April and increased to 138.81 in November.

Strategic Advice:

The high current ratio indicates strong short-term liquidity. Focus on reducing the accounts receivable days to improve cash conversion and working capital efficiency.

8. Smart AI Simulation — What-If Scenarios

Based on weak spots identified in the report, the AI simulated the following outcomes:

- **Scenario A - Profit Focus:** If Accounts Receivable Days were reduced from the peak of 202.77

days (June) to the level of 64.35 days (April), the company could improve its Operating Cash Flow, which was negative ₹23.30 lakh in April and ₹25.04 lakh in October.

- **Scenario B - Cash Focus:** If the company maintained its highest Operating Profit % of 115.93% (October) consistently, the Net Profit could be sustained closer to the high of ₹23.89 lakh (October) instead of dropping to ₹97,230 (August) or turning negative ₹3.60 lakh (September).
- **Scenario C - Balanced:** A combined approach of reducing Working Capital Days from 138.81 days (November) and improving the Return on Equity from 280.12% (October) could stabilize Total Equity growth, which fluctuated from ₹1.22 crore (April) to ₹50.42 lakh (May) and back to ₹1.05 crore (November).

9. Operational Insight Engine — Ground-Level Trends

Sales Performance: Monthly sales revenue showed significant fluctuation. It began at ₹12.36 lakh in April, dipped to ₹4.40 lakh in June, and peaked at ₹20.12 lakh in October before settling at ₹8.67 lakh in November.

Working Capital & Receivables: The working capital requirement, measured in days, was highest in June at 202.77 days and lowest in October at 83.33 days. Accounts receivable days followed a similar pattern, also peaking in June.

Inventory & Production: Closing stock and inventory days were consistently reported as zero for all months from April to November, indicating no held inventory.

Operational Efficiency: The asset turnover ratio, which measures sales generated per rupee of asset, was highest in October at 2.86 and lowest in June at 0.96.

10. 90-Day Action Plan

Days	Focus	Action	Target	Benefit
0-30	Cash	Improve debtor collection to reduce Accounts Receivable Days from 138.81 days. Review and manage vendor payments to optimise Accounts Payable.	Increase Cash and Bank Balances from ₹55.25 lakh.	Strengthen liquidity and improve the Current Ratio from 11.78.

Days	Focus	Action	Target	Benefit
31-60	Profit	Stabilise monthly profit by controlling Overheads, which were 84.74% of revenue in November. Focus on consistent Sales performance.	Achieve a steady Net Profit % closer to the October level of 118.71%.	Enhance Retained Profit accumulation and improve Return on Equity from 33.99%.
61-90	Growth	Leverage the high Return on Capital of 20.62% to fund growth. Plan investments to support Sales increase, using the Asset Turnover of 1.35 as a baseline.	Increase monthly Sales from ₹8.67 lakh towards the October peak of ₹20.12 lakh.	Scale business operations sustainably and increase Total Equity from ₹1.05 crore.